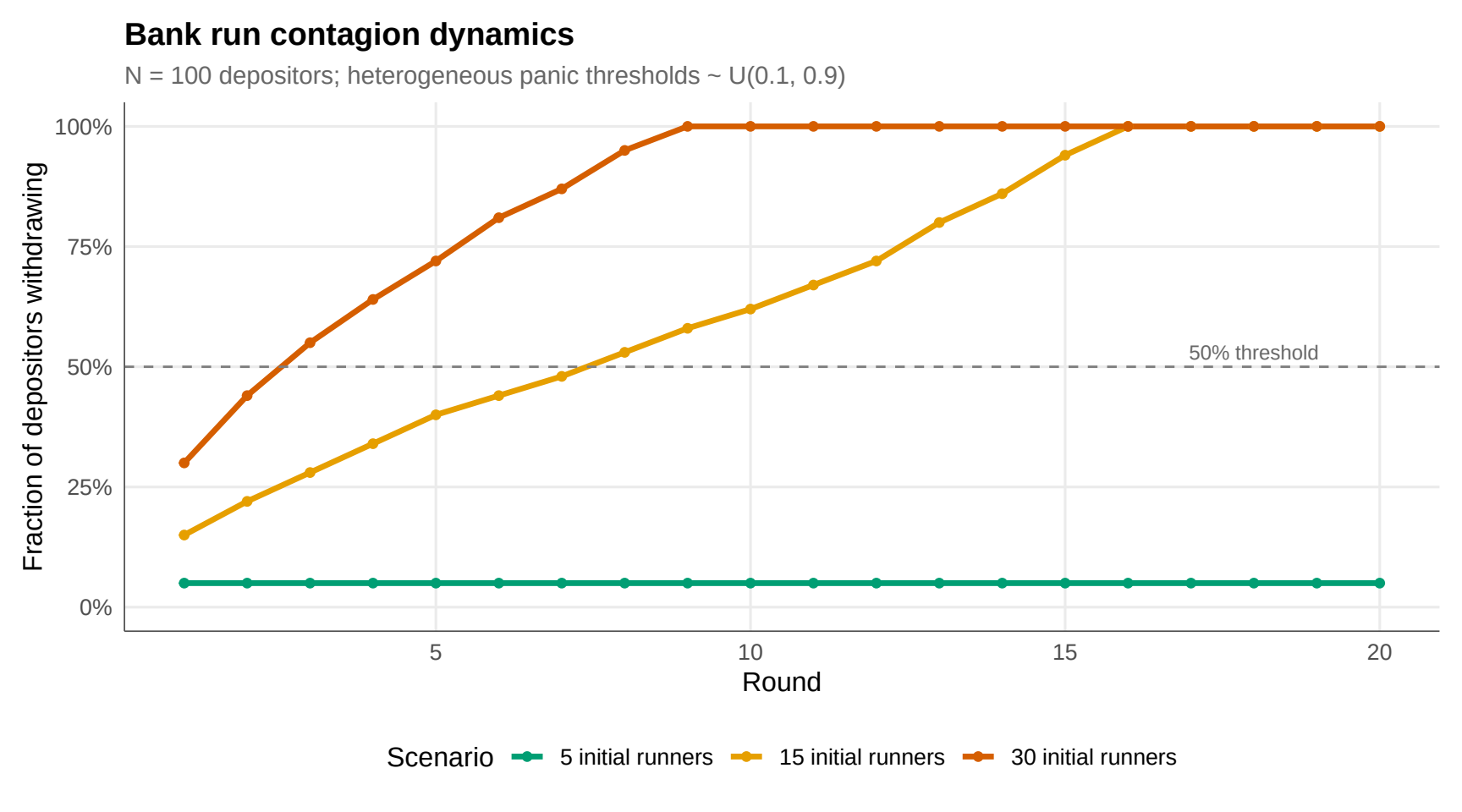
Bank run contagion dynamics
N = 100 depositors; heterogeneous panic thresholds ~ U(0.1, 0.9)
Fraction of depositors withdrawing
100%
75%
50%
25%
0%
50% threshold
5
10
15
20
Round
Scenario
5 initial runners
15 initial runners
30 initial runners